The Future of Financial Analysis

By Benjamin Graham

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Judged by its record in the past twenty-five years, a career as a Financial Analyst should have nothing to fear from the future.

For thinking back, it was a quarter of a century ago that The New York Society had only eighty-two members, and today it totals 2,945 members—some of whom are assigned to financial tasks in South America, Europe, and the Far East.

Moreover, there are now twenty-nine constituent societies which comprise The Financial Analysts Federation. And if we measured our expansion in dollar terms by annual dues collected, we might well claim to be one of the leading "growth industries" of the country.

Our growth in numbers has been accompanied by a corresponding advance in our financial influence. Would it be an exaggeration to say that the greater part of security transactions today are based to some degree on work done by Financial Analysts—ranging from perhaps the tangential influence of a brokerage house circular to full direction of portfolio changes?

With this growth of numbers and influence there should have come a somewhat corresponding increase in responsibility. But until recently there had been few visible signs of such a development. Now, with the foundation in 1959 of The Institute of Chartered Financial Analysts, and with arrangements completed to award the CFA designation, we may celebrate a major milestone in our progress toward a true professional status, accompanied by truly professional obligations to the public.

This move has been made none too soon to meet a rising demand for changes in Wall Street's ways of doing business. The recent decision of the Securities and Exchange Commission—in the "Rockville Center case"—indicates that Financial Analysts will be held to new accountability in the areas of fraud, and possibly beyond. Putting on a prophet's mantle I might foresee a perhaps distant time when all printed material that analyzes and/or recommends a security (and is distributed to the public) will have to appear over the signature and with the responsibility of a Chartered Financial Analyst.

For our profession I think the broader term "Financial Analyst" is preferable to "security analyst," because most senior analysts must now be prepared to go beyond the impersonal study of securities and to consider the requirements of the individual client. Examination III for the Chartered Financial Analysts designation covers "Investment Management," including the construction of portfolios suitable for various types of investors (and speculators). There is thus double function of the Financial Analyst, related in part to securities and in part to people. As portfolio adviser he prescribes for the financial health of his "patient" in much the same way as a doctor does for his physical or mental health.

It is my basic thesis—for the future as for the past—that an intelligent and well-trained Financial Analyst can do a useful job as portfolio adviser for many different kinds of people, and thus amply justify his existence. Also I claim he can do this by adhering to relatively simple principles of sound investment; e.g., a proper balance between bonds and stocks; proper diversification; selection of a representative list; discouragement of speculative operations not suited for the client's financial position or temperament—and for this he does not need to be a wizard in picking winners from the stock list or in foretelling market movements.

But regardless of my minority opinion on this point, Financial Analysts will undoubtedly continue to pursue as their chief activity the attempt to pick the stocks "most likely to succeed." And even though it is now fashionable to decry the various averages as misleading or meaningless, most will still tell you—without having their arms twisted—their opinion whether these averages are going up or down. Can we expect the Financial Analysts to do a good job in these two key areas in the future?

My views on the validity of stock-market forecasting have been unfavorable for about half a century. This may entitle me to a high mark for consistency, but it hardly qualifies me as an impartial student of the subject. Let me make only a guarded prediction here. It is more than just possible that the investigations of Wall Street's practices in the future will include a really comprehensive study of the claims and accomplishments of the leading approaches to market forecasting. (I think of something resembling the articles that appeared last year in Fortune, but more extensive in coverage.)

If the Securities and Exchange Commission comes to grips with this intriguing problem the results might be quite interesting, along one of at least two divergent lines. The first would argue: (a) market analysis is an important part of security analysis; (b) Financial Analysts must be fully responsible for their work; hence (c) every published market prediction will have to be made over the name and with the responsibility of a Chartered Financial Analyst. The opposite possibility is merely that all such prognostications will be required to bear in large type the legend: "For entertainment purposes only. Do not take seriously."

Passing on to the work of the Financial Analyst as the selector of the most promising common stock, I see two major obstacles here to brilliant success for the average Analyst or for Analysts as a whole. The first grows out of competitive developments, the second from the large element of speculation that newer investment concepts have injected into common stocks of superior quality.

Analysts' Problems: Competition

Let us consider first the matter of competition—not from outside sources but from the very growth in numbers and the intensified training of those inside our profession. My basic point here is that neither the Financial Analysts as a whole nor the investment funds as a whole can expect to "beat the market," because in a significant sense they (or you) are the market. It should be clear that if all market operations were Analyst-advised then the average Analyst could not do better than the "outside public" because there would be no outside public. Thus, to beat the market he would have to beat himself—an impossible bootstrap operation. Hence the greater the overall influence of Financial Analysts on investment and speculative decisions the less becomes the mathematical possibility of their overall results being better than the market's.

This overlooked fact explains, I think, a phenomenon which has aroused unnecessary controversy. I refer to the much-attacked comparisons that indicated that mutual funds have not outperformed the Standard & Poor's 500 Stock Composite in the past decade. The figures themselves cannot be challenged on the grounds that the funds are more conservative or less risky than the general market, for they suffered about the same average percentage decline in 1956 and again in 1962 as did the S&P 500 Index. But it is a completely valid answer and defense that the funds perform a valuable service for innumerable people who could not or would not do as well as the general market. I, for one, have no doubt that the funds have amply justified their existence for many years past and will continue to do so.

Analysts' Problems: Speculative Element

I come now to the second obstacle in the way of successful stock selection by Financial Analysts—which is the increased injection of the speculative element in the valuation of high-grade issues. I spoke at some length on this subject at a Financial Analysts Federation dinner as far back as 1958, under the heading of "The New Speculation in Common Stocks." My basic point then was that in the old days most stocks were speculative because of weaknesses and risks associated with the particular concern or business, but in the new days the common stocks of strong companies were becoming increasingly speculative because their price levels were discounting future growth more and more liberally. That tendency continued unchecked from 1958 to May 1962.

This new type of speculative risk can best be illustrated by reference to the stock issue which sold in 1961 at the highest aggregate value for any industrial company—just about $17 billion—and which was undoubtedly the best regarded from the standpoint of financial strength and future prospects. The company of course is IBM, which for a number of years has carried the highest quality rating given by Standard & Poor's. Yet the stock of this truly marvelous enterprise dropped in price from 607 in 1961 to 300 at its low of 1962—a loss of over 50% and of more than $8 billion in market value in less than six months. That loss was proportionately about 1¾ times the decline suffered by the Standard & Poor's 500 Stock Index from its all-time high to its 1962 low.

This comparison brings out sharply the relatively new tendency for high quality and high risk to go together in the field of common stock. Whether we like it or not—and I for one consider it an unfortunate development—it has every appearance of being a permanent characteristic of the stock market. I am reminded here of Marcel Proust's casual reference to "love and the suffering that is inextricably connected therewith." The public's love affair with common stocks is not likely to be any more sorrow-proof. It seems to me that the larger the speculative component in the price of the typical common stock—whether derived from internal weakness or a vulnerable market multiplier—the less dependable must become the work of the Analyst in choosing one against another.

A word should be added here about technology. Most of the high-multiplier stocks have been "technological issues"—e.g., computers, photographic processes, electronics. But technological change is one of the most speculative elements in the valuation picture. What it gives to one company it is likely to take away, at least in part, from others, which may have been last year's technological favorites. The high multipliers can be justified only by very long-term projection of future growth and maintained earnings; but technology itself, with the rapid changes it brings about, implies the opposite of dependable long-term expectations for any of its products or processes, and even for any enterprise largely controlled by technological factors.

It is worth spending another few minutes to consider the problem of stock selection from another angle. You are all familiar with the fact that over any span of years there has been a remarkable divergence in the relative price movement of the thirty stocks in the Dow Jones Industrial Average, as well as in almost any other representative list.

Many will say that these great variations in performance indicate clearly the opportunities for exceptional profits that are open to expert Analysts who can identify the most promising issues. The contrary implication is that Analysts as a group are incapable of evaluating the future of individual companies with reasonable accuracy; for if they were, the market prices would have discounted much more closely the actual developments in the ensuing years.

In this connection it is interesting to note the comments of a Wiesenberger Manual on its tabulation. The authors state that their figures show: (1) the wisdom, if not the necessity, of diversification in modern markets; (2) how unrealistic can be the impression created by any market "average"; (3) how "selective" have become modern markets. To my overcritical eye these remarks seem to partake of the copious confusion into which we have plunged ourselves in recent years. To begin with, the greater the wisdom and necessity for diversification, the more realistic for actual investment results become these much maligned market averages.

The fact is that, despite the wide difference in the composition of the Dow Jones 30 and the Standard & Poor's 500, the year-by-year changes of these two indexes have been remarkably close, and these in turn have been approximated by the overall performance of the mutual funds. Contrariwise, the quoted reference to the selective nature of modern markets seems to support Wall Street's favorite claim that good Analysts can select the best stocks, in such manner that those they advise can prosper even when the averages decline. But basically, of course, the concept of selectivity is opposed to that of wide diversification. If Financial Analysts as a whole could really be good selectors, the diversification policies followed by the funds would be quite illogical.

What I have been saying undoubtedly sounds highly unflattering to the pretensions of security analysis in its cherished activity of common-stock selection. Is the case really as bad as I have made it? Well, there are at least two large grains of comfort to consider. But even these involve a paradox. The first is that the Analysts do in fact render an important service to the community in their study and evaluation of common stocks. But this service shows itself not in spectacular results achieved by their individual selections but rather in the fixing at most times and for most stocks of a price level which fairly represents their comparative values, as established by the known facts and reasonable estimates of the future. These comparative valuations may not be highly dependable when judged against subsequent developments; but they are probably the best that can be made by any process and as such are of real utility to those buying and selling stocks.

To bring this subtle point home, let us imagine for a moment that some ukase from Washington resulted in banishing Financial Analysts from the Wall Streets of America much as Plato would have banished all poets from his Republic. What would happen? Common stock prices would become much more irrational than they have been in recent years—a state of affairs a little difficult for some of us to imagine. Financial Analysts would still ply their outlawed trade in secret—meeting perhaps in dank cellars instead of in more plush surroundings to exchange their findings; a black market for their services would soon spring up, and they might even be paid more than their present munificent salaries, because their work would be illegal and attended by more serious risks than the familiar one of being wrong.

The fact that the combined work of Financial Analysts tends to bring about reasonably defensible relative prices is greatly to their credit, but generally escapes recognition and proper appreciation. Conversely—and here is the paradox—the Analysts have been able to claim credit for good overall results for their clients over a span of many years, but this achievement must be admitted (in private) to be not so much the result of their superior abilities as of the long bull market that began in 1949. Going back much farther, these satisfactory investment results may be ascribed to an underlying tendency of common stocks for the past eighty years to yield a return of some 7½% compounded, in dividends plus price appreciation. Most of your "advisees," if you had merely kept them from doing foolish things, should have realized an excellent annual return over the years. Nor is there reason to fear for the long-term future in this regard, if we can assume that common stocks will continue to fluctuate about some price curve that tends upward.

No Tinge to Speculation

My long-held concern about the growth of the speculative element in common-stock prices leads me to consider the subject now from quite a different angle. The great and praiseworthy campaign of Wall Street in the past decade has been directed at creating "a nation of investors." But to accomplish this, Wall Street has insisted more and more on the investment character of common stocks generally and on the pleasing concept that everyone who came into the stock market is engaged in investment operations. Speculation was in no way prohibited by the S.E.C. legislation, but it seems to have been virtually outlawed by the new semantics of Wall Street. Some of you may recall some rhetorical questions I posed in a letter to The Wall Street Journal last June apropos of their front-page headings: "Many Small Investors Bet on Further Drop; Step Up (oddlot) Short Sales." This was about as far as one could possibly go in distorting the proper meaning of the term "investor."

In my view the financial community has followed the wrong policy—in both its own and the public's interest—in trying to eliminate the idea of speculation from our language and thinking. If common stocks and speculation must go together—now as much as in the past, in the future as much as now—it is essential that this fact be recognized clearly, taken fully into account by Analysts and others, and made adequately clear to the public. In the past, the New York Stock Exchange very sensibly contended that there was nothing wrong in speculation if carried on by people who knew what they were doing and could afford the risks involved. Furthermore, the Exchange pointed out that speculation differs inherently from gambling, because speculative risks—such as attach to common stocks—are pre-existing and must be taken by someone, whereas the typical risks of gambling are created by roulette or horse players as they place their bets.

I haven't the slightest doubt that nine people out of ten who have margin accounts with brokers are ipso facto speculators. My only quarrel with this picture is that they have all been encouraged to believe that they are investors, which simply isn't true. Wall Street has no reason to be afraid of the term "speculation"; it is at least as likely to attract the public as it is to repel them. What the financial community may have to fear is the politically potent complaints of a comparatively small number of persons who have taken much greater losses than they could afford, and can with some justice place the chief blame on "account executives" who had told them they were "investing in America." Nor have the Financial Analysts been without blame here, because of their own insistence on calling nearly every purchase an investment.

Looking into the Future

The point I have just tried to make is not a digression from my main theme but ties in closely with my concept of the future role and activities of Financial Analysts. In our textbook we have held consistently to the thesis that Financial Analysts cannot deal successfully enough with basically speculative situations, and that they should try to limit their activities as far as possible to commitments they may consider justified by well-established investment criteria. Recent reflection on the matter leads me to advance some modification of that view.

Financial Analysts in general will not be able to turn their backs on the pervasive speculative elements in common stocks. It will be only at infrequent bear market levels that representative issues will be obtainable on what I should term a pure investment basis, with nothing significant paid for their speculative component. At other market levels—such as the present, for example—it will be only the exceptional common stock that can be bought on such attractive terms.

It is unrealistic to think that 8,000 or more Financial Analysts can confine their activities mainly to choosing safe bonds, to getting up more or less mechanical portfolios of leading common stocks, or even to hunting down bargain issues, of which there could not possibly be enough to go round. No, the Analyst of the future must continue his studies in depth of numerous companies; plus his endeavors to appraise management competence, technological possibilities and risks, and overall prospects; plus his comparative valuations among similar companies and against the general market level. He must then make his choices, submit his individual recommendations, and be prepared to stand or fall by his own overall record—judged, let us hope, with a reasonable degree of leniency.

But the change I suggest, in all earnestness, is that the Analyst give full and formal recognition to the speculative factors in the common stocks he deals with. This recognition might well express itself in a studied effort to present separately for each issue analyzed the investment value—as a kind of "minimum true value"—and then the additional speculative component of value. This is not the place for me to spell out how this separation of value components should be made: It is perfectly proper for different Analysts to take different approaches to this question, which may vary widely as between more or less conservative practitioners. But each of them its proponent should be prepared to defend in some intelligible and plausible manner.

May I suggest in this connection that Analysts consider the technique of developing a single-figure comparative valuation for the issue studies, based solely on the past records—including, of course the past rate of growth—and that this "past-record value" be used as a point of departure for the "present value" which will take all new and relevant factors into consideration. This present value should then have its investment and speculative components delimited as clearly as possible. (Incidentally, my "past-record value" may be termed the actual value of the stock if one could assume that the past factors would continue unchanged into the future.)

In November 1957 the Financial Analysts Journal published a paper of mine titled "Two Illustrative Approaches to Formula Valuations for Common Stocks" in which I developed a concrete method for determining the "past-record value" of a common stock, and worked it out for the thirty issues in The Dow Jones Industrial Average. The silence that greeted this effort was deafening and disappointing. However, this same article has been reprinted in a book just published by The Institute of Chartered Financial Analysts. The book is titled Readings in Financial Analysis and Investment Management (see Book Reviews in this issue of the Journal). I have renewed hope now that other Financial Analysts will be moved to do some work along the same lines and perhaps develop one or more "single figure" formulas that may be widely adapted.

Let me illustrate what I have in mind generally by a comparison between IBM and International Harvester (which occurs next on the NYSE list). At the end of 1961 the price of IBM was 579 against about 50 for Harvester. Both were sound and important companies, but IBM was undoubtedly the better enterprise. Did this make IBM both a more promising and a safer purchase than the other? Here was what might be called the standard type of problem for the Financial Analyst. If he tried to deal with it along the lines of my suggested procedure he might have set the investment component of IBM as low as $200—a valuation of some $6 billion for the entire concern.

The speculative component he would have valued in accordance with his own method, which in turn would reflect his temperament as much as his detailed study of future possibilities. His figure might have been higher or lower than the $380 difference between the market price and his investment value; the important point here is that he would have made clear to himself and his clients the combination of opportunity and risk that is inherent in so large a speculative component of market price or total value. Quite differently, the Analyst might well have found an investment component of say, $40 per share for Harvester—based on its average earnings, its dividend record, its asset value (about $55), and of course his conviction that the company's earning power was not likely to deteriorate in the long-term future. This would have left a speculative component of only $10, or 20% of the market quotation—from which he may or may not have concluded that the issue was attractively priced.

I am far from urging, with the ready aid of hindsight, that the much lower speculative component of Harvester proved it to be a better purchase than IBM at the end of 1961. But I do urge that the risk component—hence the actual risk—was proportionately much smaller, and that this element was worth isolating and paying close attention to in the work of financial analysis. Putting the matter another way, let me state my conviction that the competent Financial Analyst can do a more expert and worthwhile job in the field of delimiting investment and speculative areas of value than in drawing the bald conclusion that Company A's shares are a better buy than Company B's.

This rather modest estimation of what financial analysis may reliably accomplish leads me to suggest a procedure by which the senior Analyst may combine his work as a portfolio-creator and supervisor with his penchant for selecting the most of present practice, and runs somewhat as follows: The Analyst would start with a representative group—more or less equivalent to the Dow Jones thirty stocks—which is calculated to give the buyer a future experience very close to that of the various averages. He should not reject this list out of hand as too easily put together and thus unworthy of his talents. Indeed he should treat his own "private" choices as competitive with this basic list, in the sense that each such choice would require a clear-cut demonstration of superior attractiveness (say 20% in his valuation against market price) to warrant inclusion in the portfolio as an addition or substitution.

This approach could be carried down to the level of an industry Analyst in a large organization, who studies a relatively few companies in depth. He, too, would either accept direct responsibility for the conclusion that an issue he recommends has the required 20% "margin of indicated value" (as I call it), or else present his analysis in a form to enable his superior to make such a finding.

Returning now to my outline-treatment of the future of financial analysis I should like to touch briefly on three more points. The first two may be called crusades of my own, which I have carried on for years with an outstanding lack of success, but on which I am not yet ready to concede defeat. Perhaps the future is on my side. My first demand is for comprehensive and objective record-keeping by Financial Analysts, in a form which would permit themselves and others to judge of the validity of various investment approaches in terms of their actual working out for many cases and for many years.

To my mind such compilations are essential to any true advance of our membership toward self-understanding and a professional viewpoint. The investment funds are ideally suited for the gathering and careful evaluation of this material, based on their standard forms, procedures, and record. Such evaluations of various analytical approaches could also be reported on, at proper intervals, in the Financial Analysts Journal and elsewhere, as a service to our profession and the public.

My second crusade has been to urge that the Analysts use their judgment and their influence in the area of managerial efficiency—not only toward avoiding the shares of poorly managed companies (which in Wall Street is often carried too far), but more positively in the support of efforts from stockholders outside the management to improve unsatisfactory results. The present method of accomplishing this is by permitting the price to decline to an intrinsically absurd level, at which point new people often acquire a controlling interest and then make the necessary changes. This is hardly the best way for existing owners to protect their investments. Whether the future will bring any improvement I hesitate to say—but I may hope so.

I did, in fact, recently get a brainstorm or nightmare on this subject that may amuse you. After all, the largest equity owner of nearly every American corporation is the U. S. government, with its present 52% share of the profits. Suppose our young President brought his famous vigor to bear on the problem of poorly managed companies, insisting that the interest of the Treasury Department required them to make more money or else. You may enjoy playing a bit with that bizarre idea.

My final point relates to the possible use of computers in various aspects of financial analysis. Lloyd S. Coughtry's article in the January–February issue of the Financial Analysts Journal shows how a computer may be used to project future operating results in the public utility field, which is better suited than others for such elaborate calculations. Much more controversial is the question whether computers may be of major assistance in working up portfolios or in deciding on individual purchases and sales.

Skeptical as we may be of such a prospect it would be unwise to dismiss it out of hand. I believe there is theoretical merit in the original Markowitz concept of "efficient portfolios." This seeks to find by a computer program the portfolio that offers the largest expected return compatible with a given acceptable risk, or, conversely, the least risk associated with a required or expected return. Under this approach it would be up to the Analyst to estimate the degree of risk as well as the expectable return for each issue in the large group from which the portfolio would be drawn. Perhaps the development of techniques to identify the speculative component in individual issues may aid the Financial Analyst in supplying reasonably dependable material for the computers to work their magic upon.

Be all this as it may, of one thing I am certain. Financial analysis in the future, as in the past, offers numerous different roads to success. Many will gain it by way of an intensive knowledge of one or more industries; others by specializing in technology; others by an outstanding ability to evaluate the management factor; still others by flair for the public's psychology—perhaps even specializing in fantasy; others, again, will have a good nose for bargains and be experts in special situations of all sorts. For men and women with real ability in one or more of these many directions, financial analysis (or security analysis) will continue to offer highly satisfactory rewards.